AIMAX DIGITAL

Startup Launch and Business Development Consultancy

LUXE BY MADIHA

Deliverable 9
Finance and Expense Management SOP

Standard Operating Procedure for budgeting, approvals, payments, record-keeping, reporting and financial controls

Client	Luxe by Madiha
Prepared by	Aimax Digital — Startup Launch and Business Development Consultancy Team
Document owner	Founder / Owner (Madiha)
Version	1.0
Effective date	[Insert launch date]
Review cycle	Every 6 months
Currency	Pakistani Rupees (PKR). All thresholds are recommended starting values and should be adjusted to the company's actual scale.

1. Purpose, Scope and Principles

Purpose. This SOP sets out the basic financial controls, approval routes and record-keeping rules that allow Luxe by Madiha to spend money responsibly, protect its assets, and report accurately on its performance.

Scope. It applies to the owner, all employees, part-time staff, interns, freelancers and contractors who request, approve, spend, receive or record company money.

Guiding principles

- **Segregation of duties:** The person who requests a payment should not be the person who approves it, and neither should be the person who reconciles the bank account.
- **Authorisation before commitment:** No purchase is made or contract signed before approval.
- **Documentation:** No payment without an invoice, receipt or written approval.
- **Transparency:** Every transaction is traceable from request to ledger entry.
- **Accuracy and timeliness:** Records are updated weekly and closed monthly.

2. Roles and Responsibilities

Role	Key finance responsibilities
Owner / Founder	Approves annual budget, signs off high-value expenses, holds final authority over bank access, reviews monthly reports
Finance & Admin Officer (or outsourced accountant in early stage)	Records transactions, prepares payments, manages petty cash, prepares monthly reports, performs reconciliation
Department Heads / Team Leads	Prepare departmental budgets, raise purchase requests, monitor spend against budget
All employees	Submit expense claims with receipts, follow procurement rules, report suspected fraud
External accountant / tax advisor	Reviews books quarterly, handles tax filings and statutory compliance

Note: If the business is too small to separate all roles, the owner must personally review the bank statement and reconciliation each month as a compensating control.

3. Budget Preparation

3.1 Annual budget

1. **October–November (or 6 weeks before the financial year starts):** Department heads submit budget requests covering marketing, operations, salaries, technology, inventory/production, rent and utilities, professional fees and contingency.
2. Finance consolidates requests into a master budget showing projected revenue, direct costs, operating expenses and net profit.
3. The owner reviews, adjusts and formally approves the budget in writing.
4. Approved budgets are loaded into the expense tracker by category and by month.

3.2 Budget rules

- Include a **contingency reserve of 5–10%** of total expenses.
- Maintain a **cash reserve** target equal to at least 2–3 months of fixed operating costs.
- Budgets are reviewed **quarterly** and may be revised only with the owner's written approval.
- Spending above **110% of any budget line** requires a written variance explanation and owner approval.

3.3 Launch budget

For the pre-launch period, a separate launch budget is prepared covering brand identity, website and e-commerce setup, initial stock, packaging, photography, legal registration, licences and launch marketing. It is tracked as its own cost centre until launch is complete.

4. Expense Approval Matrix

All spending follows this authority matrix. Approval must be obtained **before** the commitment is made.

Amount per transaction (PKR)	Approver	Documentation required
Up to 5,000	Department Head	Receipt
5,001 – 25,000	Department Head + Finance Officer	Purchase request, receipt/invoice
25,001 – 100,000	Owner	Purchase request, invoice, at least 2 quotations
Above 100,000	Owner (written approval)	Purchase request, at least 3 quotations, contract or agreement
Unbudgeted expense (any amount)	Owner	Written justification and source of funds

Rules

- Splitting a purchase into smaller parts to avoid an approval level is prohibited and treated as a policy violation.
- No one may approve their own expense, reimbursement or payment. The owner's own expenses must be recorded and receipted like any other.
- Approvals can be given by email, signed form or the approved finance tool, and must be saved with the transaction record.

5. Purchase Requests and Procurement

5.1 Procedure

1. **Raise a Purchase Request (PR)** using the standard form (see Annex A) stating item or service, purpose, estimated cost, budget line, preferred vendor and required date.
2. **Check the budget:** Finance confirms the funds are available in the relevant budget line.
3. **Obtain quotations:** Per the approval matrix (2 quotes above PKR 25,000; 3 quotes above PKR 100,000). If only one supplier exists, record the reason.
4. **Approve:** The relevant approver signs the PR.
5. **Issue a Purchase Order (PO)** or written confirmation to the vendor with agreed price, quantity, delivery date and payment terms.
6. **Receive and inspect** goods or services; the receiver confirms quantity and quality against the PO.
7. **Match documents:** Finance performs a three-way match of PO, delivery note/proof of service and vendor invoice before payment.

5.2 Vendor selection criteria

Price, quality, reliability, delivery time, payment terms, reputation, and for luxury products, consistency with the brand's quality standards. Preference is given to vendors who provide proper tax invoices.

5.3 New vendor onboarding

Before first payment, Finance records the vendor's legal name, address, contact person, NTN/CNIC (as applicable), bank account title and number, and payment terms. Bank details are verified by a call-back to a known number. Changes to bank details require written request and verbal confirmation by a second person.

6. Petty Cash

Purpose: Small, urgent, low-value expenses that cannot practically be paid by bank transfer (e.g. courier fees, stationery, refreshments, minor repairs).

- **Float:** PKR 20,000 (adjustable by the owner).
- **Custodian:** One designated person (Finance & Admin Officer). Cash is kept in a locked box or drawer, separate from personal funds.
- **Single transaction limit:** PKR 3,000. Anything higher follows the normal purchase request process.
- **Voucher:** Every payout needs a petty cash voucher with date, amount, purpose, budget category, receipt attached, and signatures of the requester and custodian.
- **Prohibited uses:** Salary advances, personal loans, cashing personal cheques, payments to vendors that should go through the bank, and any expense without a receipt (unless approved in writing).
- **Replenishment:** When cash falls to 25% of the float, the custodian submits vouchers to Finance, which reviews them and issues a replenishment equal to the vouchers total.
- **Counts:** The custodian counts cash weekly. The owner or Finance performs a **surprise count at least monthly**. Cash plus vouchers must always equal the float.
- **Shortages and overages:** Reported immediately in writing. Unexplained shortages are the custodian's responsibility and investigated.

7. Employee Expense Claims and Reimbursements

1. Expenses must be business-related, reasonable and pre-approved where required by the matrix.
2. Claims are submitted on the Expense Claim Form within **7 working days** of the expense, with original receipts or clear digital copies.
3. The line manager reviews and approves; Finance verifies against policy and budget.
4. Approved claims are reimbursed by bank transfer in the next regular payment run (target: within 10 working days).
5. Claims older than 30 days, without receipts, or for personal items will be rejected unless the owner makes an exception in writing.
6. Travel, meals and client entertainment must be reasonable and linked to a documented business purpose and attendee list.

8. Vendor Payments

8.1 Payment procedure

1. Vendor invoice is received by Finance and logged in the **invoice register** (date received, vendor, invoice number, amount, due date).
2. Finance verifies the invoice: correct vendor details, amounts, tax, and match to PO/delivery.
3. The approver confirms the invoice for payment according to the approval matrix.
4. Finance prepares the payment instruction.
5. A **second authorised person** (normally the owner) releases or approves the payment in online banking.
6. Payment confirmation is saved with the invoice, and the vendor is notified.

8.2 Payment rules

- **Payment runs** are scheduled on fixed days (e.g. 1st and 15th of each month) unless an urgent payment is approved by the owner.
- Pay by **bank transfer or cheque** wherever possible. Cash payments to vendors should be exceptional, documented and limited to small amounts.

- Payments are made only to the account named on the vendor master record.
- Pay within agreed terms; take advantage of early-payment discounts only when cash flow permits.
- Duplicate invoices are blocked by checking the invoice register before every payment.
- No payment is released on photocopied or verbally promised invoices without Finance verification.

9. Customer Invoicing and Receipts (Revenue Handling)

- Every sale, whether in-store, online or through a custom order, must have a **sales invoice or receipt** with a unique sequential number.
- **Deposits and advances** for custom or made-to-order items are recorded as customer advances (liabilities) until the order is delivered.
- Online payments are reconciled against the website and payment gateway reports at least weekly.
- Cash takings are counted by two people (or one person and a recorded supervisor check), deposited in the bank within **one working day**, and never used to pay expenses directly.
- Refunds, discounts above 10%, voids and credit notes require manager approval and a documented reason.
- Outstanding customer invoices are reviewed weekly; overdue amounts follow the collection reminders defined in the Sales SOP.

10. Financial Recordkeeping

10.1 What must be kept

Bank and wallet statements, sales records, purchase invoices, receipts, expense claims, petty cash vouchers, payroll records, contracts, tax returns and correspondence with tax authorities, asset register, stock records and approvals.

10.2 How records are kept

- Use a consistent **chart of accounts** and accounting software (e.g. a cloud-based accounting package) as the single source of truth.
- Scan or photograph all paper documents and file them in a structured, access-controlled folder: Finance / Year / Month / Category.
- Name files consistently: YYYY-MM-DD_Vendor_InvoiceNo_Amount.
- Maintain **backups** following the IT Governance and Security procedures.
- Keep original paper records securely in a locked cabinet.

10.3 Retention

Financial and tax records are retained for **at least 6 years** (or longer if required by Pakistani law or the company's tax advisor). Records are never destroyed without Finance and owner approval and a log of what was destroyed.

11. Financial Reporting

Report	Frequency	Prepared by	Reviewed by
Cash position and bank balances	Weekly	Finance	Owner
Sales and revenue summary	Weekly	Finance / Sales	Owner
Budget vs actual report	Monthly	Finance	Owner and Department Heads
Profit and Loss statement	Monthly	Finance	Owner

Report	Frequency	Prepared by	Reviewed by
Balance sheet	Monthly (or quarterly in early stage)	Finance / Accountant	Owner
Cash flow statement and 3-month forecast	Monthly	Finance	Owner
Accounts payable and receivable ageing	Monthly	Finance	Owner
Tax and statutory compliance summary	Quarterly	Accountant	Owner
Annual financial statements	Annually	Accountant	Owner

Key financial indicators to track: gross margin, net profit margin, average order value, customer acquisition cost, inventory turnover, operating expenses as % of revenue, days of cash in hand, and budget variance.

12. Monthly Financial Review and Reconciliation

12.1 Month-end close timeline

Working day	Activity	Responsible
Day 1–2	Record all outstanding sales, expenses and payroll; finalise petty cash and claims	Finance
Day 3	Reconcile bank, wallet and payment-gateway accounts to the ledger	Finance
Day 4	Reconcile stock records to physical stock or system counts (sample or full)	Operations + Finance
Day 5	Review accounts payable and receivable ageing; accrue unpaid expenses	Finance
Day 6	Prepare management reports (P&L, budget vs actual, cash flow)	Finance
Day 7	Review reports, investigate variances, sign off reconciliations	Owner
Day 8–10	Management review meeting and action plan	Owner + Department Heads

12.2 Bank reconciliation procedure

1. Download the monthly bank statement directly from the bank (not from a document supplied by someone else).
2. Compare every bank line with the ledger; mark matched items.
3. List unmatched items: outstanding cheques, deposits in transit, bank charges, errors.
4. Investigate and resolve differences older than 30 days.
5. The preparer signs and dates the reconciliation; **the owner reviews and signs it** as an independent check.

12.3 Monthly review meeting agenda

1. Revenue and margin performance against target
2. Budget vs actual by department and explanation of variances above 10%
3. Cash position and forecast
4. Overdue receivables and payables
5. Unusual transactions and control exceptions
6. Upcoming large expenses and tax deadlines
7. Actions, owners and deadlines

13. Financial Access Permissions

Access is granted on a **least-privilege, need-to-know** basis and reviewed every quarter.

System / Asset	Owner	Finance Officer	Dept. Heads	Other staff
Bank account – view	Yes	Yes	No	No
Bank account – initiate payments	No (preferably)	Yes	No	No
Bank account – approve / release payments	Yes	No	No	No
Accounting software – full access	Yes	Yes	No	No
Accounting software – view own department reports	Yes	Yes	Yes	No
Payment gateway / e-commerce back office	Yes	Limited	Limited (sales)	No
Petty cash	Oversight	Custodian	Request only	Request only
Payroll data	Yes	Yes	No	Own payslip only
Cheque books and company cards	Owner holds	Limited use under approval	No	No

Security requirements

- Individual user IDs only; **no shared logins** for banking or accounting.
- **Multi-factor authentication** on banking, accounting and payment gateway accounts.
- Strong passwords stored in an approved password manager, in line with the IT Security SOP.
- Access is **removed on the employee's last day** or immediately on role change; Finance and IT confirm removal in writing.
- Company cards and cheques are kept secure, and signed blank cheques are strictly prohibited.
- Dual authorisation is required for payments above PKR 100,000 and for any change to bank details.

14. Fraud Prevention and Detection

14.1 Preventive controls

- Segregation of duties (request, approve, pay, record, reconcile).
- Approval matrix and three-way matching.
- Vendor master changes verified by call-back.
- Pre-numbered receipts, invoices and vouchers.
- Surprise petty cash and stock counts.
- Mandatory **annual leave of at least 5 consecutive days** for finance staff, during which another person covers the duties.
- Regular staff awareness of common scams: fake invoices, email impersonation of the owner or vendors, payment-redirect requests, phishing and fake bank calls.

14.2 Red flags

Missing or altered receipts; round-number or repeated expenses just under approval limits; vendors with no address or phone, or with the same bank account as an employee; unusual urgency to pay; reluctance to take leave or share duties; unexplained cash shortages; stock discrepancies; frequent refunds or voids by one person.

14.3 Reporting and response

1. Anyone who suspects fraud, theft or misuse must report it **immediately and confidentially** to the owner (or, if the owner is involved, to the external accountant or legal advisor).
2. Reports made in good faith are protected; **retaliation is prohibited**.
3. The owner secures evidence, restricts relevant access, and starts an investigation. Do not confront the suspect before evidence is secured.
4. Confirmed fraud results in disciplinary action up to dismissal, recovery of funds, and referral to law enforcement where appropriate.
5. The control gap is reviewed and fixed, and lessons are recorded in the incident log.

15. Conflicts of Interest

A conflict of interest arises when a personal, family or financial interest could influence, or appear to influence, a business decision.

- All employees and contractors must **declare** any relationship with a vendor, supplier, competitor or customer in which they or close family members have a financial interest. Declarations are made on joining and annually, and whenever a new conflict arises.
- A person with a conflict **must not** select, negotiate, approve or pay that vendor. Another authorised person takes over.
- Related-party transactions must be approved by the owner and recorded separately.
- **Gifts and hospitality:** Items worth more than PKR 5,000 (or cash or cash equivalents of any value) from vendors or clients must not be accepted without owner approval and must be logged in the gifts register. Never accept anything during an active tender or negotiation.
- Using company funds, stock, data or time for personal gain or outside business is prohibited.
- Undisclosed conflicts are treated as misconduct.

16. Compliance and Tax

- Register the business appropriately (SECP/sole proprietorship/partnership, NTN, FBR and provincial sales tax registration such as SRB for services in Sindh, where applicable) and display and retain all certificates.
- Withholding tax, sales tax and income tax returns are filed on or before statutory deadlines; a compliance calendar is maintained by Finance.
- Employee payroll deductions and statutory contributions (e.g. EOBI, social security, where applicable) are processed on time.
- The external accountant or tax advisor reviews the books at least quarterly and confirms the position at year end.
- *Consultant note:* Tax rates and registration requirements change; confirm current obligations with a qualified Pakistani tax advisor.

17. Exceptions, Breaches and Review

- Exceptions to this SOP require the owner's **written** approval, stating reason, amount and time period, and are logged.
- Breaches of this SOP are handled under the Employee Policies (disciplinary procedure).
- This SOP is reviewed every six months, or earlier after any fraud incident, major growth or change in banking/accounting systems.

Annex A — Purchase Request Form (Template)

Field	Entry
PR number	
Date	
Requester / Department	
Item or service description	
Business purpose	
Budget line and available balance	
Estimated cost (PKR)	
Quotations attached (number)	
Recommended vendor and reason	
Required delivery date	
Requester signature	
Department Head approval (name, date)	
Finance verification (budget confirmed)	
Owner approval (if required)	

Annex B — Petty Cash Voucher (Template)

Field	Entry
Voucher number	
Date	
Paid to	
Purpose of expense	
Budget category	
Amount (PKR)	
Receipt attached (Yes / No)	
Requester signature	
Approved by	
Custodian signature	

Annex C — Monthly Close and Reconciliation Checklist

- [ ] All sales and payment-gateway settlements recorded
- [ ] All supplier invoices and expense claims recorded
- [ ] Petty cash counted and reconciled to float
- [ ] Bank and wallet accounts reconciled and signed
- [ ] Stock count or sample count compared to records
- [ ] Receivables and payables ageing reviewed
- [ ] Payroll and statutory deductions confirmed
- [ ] Budget vs actual report prepared and variances explained
- [ ] Owner review and sign-off completed
- [ ] Records filed and backed up

Annex D — Document Control and Approval

Version	Date	Author	Approved by	Description of change
1.0	[Date]	Aimax Digital	Madiha (Owner)	Initial release

Acknowledgement: All employees with finance responsibilities must sign to confirm they have read and understood this SOP.

Name: _____ Signature: _____ Date: _____